

# BUS 1600 — Principles of Marketing

## Whole-Semester Study Guide · Fall 2026 · Prof. Eric Hogue

Text: Kotler, Keller & Chernev, *Marketing Management*, 17th ed. Built from the syllabus (draft 8/26/26) and Lectures 1–3. Sessions 4–12 are drawn from the assigned chapters — confirm against slides as they post. **Brightspace is always the authority.**

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## PART 1 — START HERE

### 1.1 How the grade works

| Component                     | Weight     |
|-------------------------------|------------|
| Midterm case write-up         | <b>30%</b> |
| Final exam                    | <b>25%</b> |
| Group assignments (4 × 5%)    | 20%        |
| Attendance                    | 10%        |
| Individual assignment         | 10%        |
| Research participation (SONA) | 5%         |
| Extra credit (Starbucks plan) | +2%        |

Two items = 55% of the grade: the case write-up and the final.

**The free 15%.** Attendance + SONA require zero studying. Excused absences are unlimited, but only if you notify **Prof. Hogue or the TA before class** and the reason is university-sanctioned or approved by him. Otherwise it's unexcused and costs points.

**The SONA trap.** You must attend once in **each** window — Sept 8–17 and Sept 29–Oct 8. Two sessions in one window earns only 2.5%. Miss window 1 and the full 5% is permanently gone.

**Late work** (group and individual assignments). 1–7 days = –20%. 8–14 days = –50%. Past 14 days = 0. Nothing accepted after Oct 13, 11:59 PM CT.

**Honor code.** Do not upload the course text or Harvard cases to an LLM — the syllabus says this may violate terms and lead to discipline. Any AI use must be cited to its *original source*, not the model.

## 1.2 The calendar

| Date   | Topic (chapter)                                           | Due                                           |
|--------|-----------------------------------------------------------|-----------------------------------------------|
| Aug 27 | Course introduction (Ch. 1–2)                             | Group 1 assigned: ECOALF                      |
| Sep 1  | Value & customer centricity (Ch. 4–5)                     | SONA account, 5 PM                            |
| Sep 3  | Marketing research (Ch. 19)                               | <b>Group 1 due 11:59 PM</b>                   |
| Sep 8  | Segmentation, targeting, positioning (Ch. 6, 7.1)         | Opera Philadelphia discussed                  |
| Sep 10 | Consumer behavior (Ch. 3)                                 | Read Simply Good Jars                         |
| Sep 15 | Behavioral economics ( <i>End of Rational Economics</i> ) | <b>MIDTERM CASE DUE — 30%</b>                 |
| Sep 17 | Digital marketing (Ch. 18)                                | Group 2 in class; SONA window 1 closes        |
| Sep 22 | Product (Ch. 10)                                          | Individual assignment released                |
| Sep 24 | Branding (Ch. 11)                                         | Group 3 assigned                              |
| Sep 29 | Promotion & advertising (Ch. 15)                          | <b>Group 3 due</b> ; SONA window 2 opens      |
| Oct 1  | Pricing beyond cost (Ch. 12)                              | <b>Individual case due</b> ; Group 4 assigned |
| Oct 6  | Distribution (Ch. 13)                                     | Group 4 in class                              |
| Oct 8  | Review                                                    | SONA window 2 closes                          |

| Date   | Topic (chapter)                             | Due                   |
|--------|---------------------------------------------|-----------------------|
| Oct 13 | <b>FINAL EXAM</b> — 40 MC + 10 short answer | Extra credit also due |

*Every date, chapter and deadline above comes straight from the syllabus — but the syllabus says Brightspace is always the most current source for what's due. Check it weekly.*

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## PART 2 — THE CORE TOOLKIT

Four frameworks carry the whole course. They are in every lecture, both cases, all four group assignments, and 40% of the midterm rubric.

### 2.1 The 5 C's — the situation

"The playbook for mapping a brand's situation."

CUSTOMERS

|

COLLABORATORS — [COMPANY] — COMPETITORS

|

CONTEXT

- **Customers** — individuals or organizations whose needs the company plans to fulfill
- **Collaborators** — those who work with the company to create value (suppliers, retailers, agencies)
- **Competitors** — anyone aiming to fulfill *the same need for the same customers*
- **Company** — us: resources, skills, offering, goals
- **Context** — the environment: economy, tech, regulation, culture

**Example — Opera Philadelphia.** Customers = aging subscribers + young occasional attendees. Collaborators = venues, donors, festival partners. Competitors = every other Friday night in Philadelphia. Company = mid-size, bold reputation, thin margins. Context = post-pandemic arts attendance, streaming, aging donors.

**The mistake to avoid:** defining Competitors as "other firms in my industry." Netflix's competitor was never only Blockbuster — it was sleep, video games, and going out.

## 2.2 The 3-V market value principle — the test

An offer survives only if **all three** are positive at once:

Customer value > 0 AND Collaborator value > 0 AND Company value > 0

- **Customer value** = benefits – price. Negative → nobody buys.
- **Collaborator value** = enough margin/reason for partners. Negative → nobody sells it.
- **Company value** = profit or strategic position. Negative → unsustainable.

**Where it breaks:** MoviePass gave huge customer value and real collaborator value. Company value was deeply negative. Two out of three is a bankruptcy.

## 2.3 The 7 marketing tactics (the modern "4 P's")

Chernev's framework. **Design** → **Communicate** → **Deliver**.

| Group               | Tactics                                        |
|---------------------|------------------------------------------------|
| Design the offering | Product · Service · Brand · Price · Incentives |
| Communicate it      | Communication                                  |
| Deliver it          | Distribution                                   |

**Netflix vs. Blockbuster (Lecture 2):**

| Tactic       | Blockbuster                                                                      | Netflix                             |
|--------------|----------------------------------------------------------------------------------|-------------------------------------|
| Distribution | Slow to embrace streaming · difficult to collaborate with · new-release shortage | Flexible distribution               |
| Brand        | A brick-and-mortar retailer · late fees                                          | Entertainment · embraced disruption |

Blockbuster did not lose on price or advertising. It lost on **distribution** and **brand** — the two tactics students forget to check. Note how they connect: late fees were a

pricing/incentives decision that ended up as the one thing customers associated with the brand. Always walk all seven.

## 2.4 SWOT — internal vs. external

| Internal (about the company)       | External (about the world)                  |
|------------------------------------|---------------------------------------------|
| <b>Strengths</b> — what we do well | <b>Opportunities</b> — trends we could ride |
| <b>Weaknesses</b> — what we lack   | <b>Threats</b> — forces that could hurt us  |

Prof. Hogue's specific instruction for ECOALF: S/W are internal to ECOALF; O/T are external. Go for **derivative** opportunities — not "sustainability is trending," but what that trend lets ECOALF specifically do next (e.g. a virtual store, a persistent-trend line).

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## PART 3 — SESSION NOTES

### Session 1 (Aug 27) — Course introduction · Ch. 1–2

**Definition.** Marketing's job is to cultivate sustainable growth for the brand and drive brand value. Ads are one of seven tactics.

**The course's angle.** Prof. Hogue is a marketer by profession, an economist by education, so the course frames everything around *digesting and managing risk*. Every recommendation should name what could go wrong — that is literally section 5 of the midterm.

**The marketing plan — storytelling your strategy:**

|              |                                             |
|--------------|---------------------------------------------|
|              |                                             |
| <b>Who</b>   | Your target and their motivation            |
| <b>What</b>  | Drive growth — acquire new or grow existing |
| <b>When</b>  | Campaign schedule                           |
| <b>Why</b>   | The need                                    |
| <b>Where</b> | Markets                                     |

|            |                            |
|------------|----------------------------|
|            |                            |
| <b>How</b> | How you'll measure success |

**Post-campaign metrics:** sales, ROMI, gross additional subscribers, awareness built, perceptions changed. Pick the metric *before* the campaign.

## Session 2 (Sep 1) — Value & customer centricity · Ch. 4–5

"Value is a highly over-used term in marketing." — so he defines six versions.

| Term                          | Plain English                                                                           | Example                                            |
|-------------------------------|-----------------------------------------------------------------------------------------|----------------------------------------------------|
| <b>Value chain</b> (Porter)   | All activities <i>inside your firm</i> that add value, design → delivery                | Apple: chip design → assembly → store → Genius Bar |
| <b>Value delivery network</b> | The wider ecosystem: you + suppliers + distributors + customers                         | Toyota and its supplier network                    |
| <b>Value migration</b>        | Value shifting from stale models to agile ones                                          | Cable bundles → streaming                          |
| <b>CLV / LTV</b>              | Total net profit from one customer over the whole relationship; sets acquisition budget | See math below                                     |
| <b>Value-based pricing</b>    | Price from <i>perceived</i> value, not cost                                             | EpiPen                                             |
| <b>Value proposition</b>      | Sum of benefits promised in return for patronage and payment                            | "Everything you want to watch, no ads, \$X/mo"     |

**Oberholzer-Gee's definition:** customer value = what the customer *appreciates* the product at – what they must *pay*.

**CLV, worked:**

$$\$15/\text{mo} \times 12 = \$180 \text{ revenue/year}$$

× 60% gross margin = \$108 profit/year

× 3.5 years tenure = CLV = \$378

So: spend up to ~\$378 to acquire one and break even.

Spend \$120 (CAC) → each subscriber nets ~\$258.

## Customer centricity

**Definition:** "seeing the world in general, and a company's services in particular, from the customer's point of view."

**The 4 A's** (Sheth & Sisodia) — four management failures behind most business failures:

- **Acceptability** — does it actually meet the need?
- **Affordability** — can they afford it and think it worth the money?
- **Accessibility** — can they get it conveniently?
- **Awareness** — do they know it exists?

**The debate he wants you to hold:**

- Marshall Field (1905): "The customer is always right."
- Bezos: "We're not competitor obsessed, we're customer obsessed. We start with what the customer needs and work backwards."
- **Herb Kelleher (Southwest):** the customer is *sometimes wrong*, and defending an abusive customer over your own employee is "one of the biggest betrayals of employees a boss can possibly commit." Customer centricity starts with employees.

## Action 1 — A/B testing

Example: black vs. gold Vanderbilt t-shirts. Primary KPIs: **CTR** and **CVR**.

1. Formulate hypothesis
2. **Isolate one variable** (color only)
3. Define success metrics *up front*
4. Execute 50/50 split launch to similar audiences
5. Analyze & iterate — crown the champion, build the next challenger

Then log everything in a performance database and run **close-loop analysis**: evaluate → improve product/creative → run new campaign.

## Action 2 — Conjoint / discrete choice (DCA, DCE)

The **gold standard**, because it forces trade-offs between whole competing offers instead of asking "what would you pay?"

- **Build:** 4–6 attributes with levels (price, ad load, access tier, premium content). A **fractional factorial / orthogonal design** shows each respondent 5–15 choice tasks — no fatigue, full statistical rigor.
- **Output:** **part-worth utilities** (how much each level adds to preference) → **preference share simulation**, predicting the market split for products that don't exist yet.
- His result: Digital Courier at \$5.99 w/ \$0.99 promo = 42%; Tennessean at \$7.99 w/ print = 35%; no purchase = 23%.

## Session 3 (Sep 3) — Marketing research · Ch. 19

**What it's for.** Every company has problems management can't solve with existing knowledge. Research usually does *not* find the next big thing. What it does is **focus the debate on strategy** — shortening timelines and raising confidence. Done badly it's disastrous: "speed to market is no excuse for negligence."

### The process:

1. Define the central question
2. Build objectives
3. Develop the research brief
4. Collect data and observations
5. Analysis & insight development
6. Presentation & reporting
7. Recommendations & next steps

### The three types:

|                 | Qualitative                                                             | Quantitative                         | Observational                           |
|-----------------|-------------------------------------------------------------------------|--------------------------------------|-----------------------------------------|
| <b>What</b>     | Depth, small groups / 1-on-1                                            | Structured surveys of a valid sample | Existing data on real behavior          |
| <b>Use when</b> | Issue not well understood; answer needs no number (e.g. a product name) | You need a measurable answer         | You need a compelling reason to believe |



|                  | Qualitative                                         | Quantitative                                                              | Observational                                                                                  |
|------------------|-----------------------------------------------------|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>Methods</b>   | Focus groups, IDIs, async online communities        | Online/text/phone/in-person surveys; conjoint; brand equity; segmentation | Social listening (Brandwatch), Google Analytics, geo-fencing, eye tracking, facial recognition |
| <b>Gives you</b> | Themes, psychology, disaster-check, Phase II design | Benchmarks, trends, forecasts, sized opportunities                        | Capture rate, journey, CTR, CVR, sentiment, attribution                                        |

### Primary vs. secondary data

- **Secondary** — already exists, collected for another purpose. Cheap, fast, not on-question. *Nielsen, IRI, Mintel*.
- **Primary** — freshly gathered for your project. Expensive, slow, exactly on-question. *Kantar, IPSOS, Morning Consult*.

**Sampling plan = three decisions:** sampling unit (whom?), sample size (how many?), sampling procedure (how chosen?). Screening criteria define the addressable market (age, category engagement, geography); quotas on gender/age/income/race keep it representative.

### Sample size vs. precision (95% confidence):

| n     | Margin of error |
|-------|-----------------|
| 100   | ±9.8%           |
| 250   | ±6.2%           |
| 500   | ±4.4%           |
| 1,000 | ±3.1%           |
| 2,000 | ±2.2%           |

Error falls with  $\sqrt{n}$ . 100 → 500 more than halves your error. 1,000 → 2,000 buys less than one point for double the money. That trade-off is why research budgets get argued about.

**The research brief format** — the in-class team exercise from Lecture 2, filled in at the start of Lecture 3. The individual marketing research assignment will want the same thinking.

| Attribute          | Level 1                   | Level 2             | Level 3 |
|--------------------|---------------------------|---------------------|---------|
| Brand              | Nashville Digital Courier | The Tennessean      | —       |
| Monthly price      | \$4.99                    | \$5.99              | \$7.99  |
| Promotion          | First month free          | \$0.99 for 3 months | None    |
| NYT news & opinion | Yes                       | No                  | —       |

*Qualifications:* reads local news online 1+/month, age 18–79, Nashville MSA, representative of Census age/income/gender. *Central question:* what monthly price maximizes revenue, and do NYT content and a promotion drive incremental sales?

A good central question names a **decision**, a **metric**, and a **testable add-on**. Copy that shape.

**The in-class AI exercise.** Lecture 3 used ~1,600 Comcast customer complaints to demonstrate synthesizing verbatims — incidence and sentiment of key complaints, most frequent billing errors and unexplained charges, how many involve incorrect promotional pricing, supporting quotes, and positive topics. That's **observational research** in practice. Note the boundary: he hosts AI tasks in class, and separately forbids uploading the text or cases.

## Session 4 (Sep 8) — Segmentation, targeting & positioning · Ch. 6, 7.1

**Highest-leverage session in the course.** The midterm rubric names segmentation and brand positioning explicitly, the Opera Philadelphia case is about segmentation, and the syllabus says to "review the segmentation Excel workbook carefully."

**S → T → P**

1. **Segment** — cut the market into groups with genuinely different needs (groups that would *respond differently*)
2. **Target** — pick which to serve: size, growth, fit with strengths, competitive intensity
3. **Position** — decide the single idea you want to own in that segment's head

**Four ways to cut a market:** demographic · geographic · psychographic · behavioral (usage, occasion, loyalty, benefit sought — usually most predictive).

**A good segment is:** measurable · substantial · accessible · actionable. A segment you can't reach is a fact, not a strategy.

**Positioning statement template:**

For [target segment] who [need or occasion],

[brand] is the [frame of reference]

that [key benefit — point of difference]

because [reason to believe].

**Perceptual map** — a 2-axis picture of where brands sit in customers' minds (e.g. price × traditional/irreverent for wine: Franz boxed wine cheap+irreverent, Barefoot cheap+mid, Kendall-Jackson mid-high+traditional, Opus One high+traditional). Open space is either an opportunity or a place nobody wants to be — your job is to say which.

**Case tip.** Name your target segments by *behavior and motivation* ("lapsed single-ticket buyers who came for a festival production"), not by age bracket alone. Then show the marketing mix changing for that segment. That's "insight beyond the obvious."

## Session 5 (Sep 10) — Consumer behavior · Ch. 3

Buying is a **process**, not a moment. Each stage has its own lever:

| Stage                         | Lever                                       |
|-------------------------------|---------------------------------------------|
| 1. Problem recognition        | Communication that names the need           |
| 2. Information search         | SEO, reviews, retail presence               |
| 3. Evaluation of alternatives | Positioning, brand, price                   |
| 4. Purchase                   | Incentives, distribution, checkout friction |
| 5. Post-purchase              | Service, loyalty, CLV                       |

**Four influences:** cultural (culture, subculture, class) · social (family, reference groups, status) · personal (age, life stage, lifestyle, self-concept) · psychological (motivation, perception, learning, memory).

*Tie to the case:* Simply Good Jars — stage 1 is "a healthy lunch you don't have to make"; stage 5 is the **jar return**, where the post-purchase behavior *is* the sustainability story.

## Session 6 (Sep 15) — Behavioral economics · HBR "The End of Rational Economics"

**Ariely's argument.** Standard economics assumes rational utility-maximizers. People are instead *predictably irrational*. For marketers: how you **frame** an offer changes demand as much as the offer itself.

- **Anchoring** — the first number seen sets the reference. A \$1,200 "list price" makes \$700 feel like a deal.
- **Loss aversion** — losing \$100 hurts ~2× as much as gaining \$100 pleases. Why free trials that auto-convert work, and why "don't lose your streak" beats "earn a reward."
- **Decoy effect** — an obviously worse third option changes which of the other two people pick.

**The Economist subscription test:**

| Option                      | Price | With decoy | Decoy removed |
|-----------------------------|-------|------------|---------------|
| Web only                    | \$59  | 16%        | 68%           |
| Print only ( <i>decoy</i> ) | \$125 | 0%         | removed       |
| Print + web                 | \$125 | <b>84%</b> | 32%           |

Nobody chose the decoy. Deleting it flipped the winner and cut revenue. An option nobody buys can still be the most profitable thing on the menu.

*Likely short answer:* "Give an example of a behavioral bias and how a marketer would use it **ethically**." Have one ready — "ethical influence" is a stated student goal in Lecture 2, so the boundary matters to him.

## Session 7 (Sep 17) — Digital marketing · Ch. 18

The only channel where every funnel stage is measured — so it's where marketing proves ROI.

CTR = clicks ÷ impressions

CVR = conversions ÷ clicks

CPA = spend ÷ conversions

ROMI = (incremental revenue × contribution margin – spend) ÷ spend

Worked: 100,000 impressions → 2,000 clicks = 2.0% CTR

2,000 clicks → 60 signups = 3.0% CVR

\$3,000 ÷ 60 = \$50 CPA

60 signups × \$180 first-year revenue = \$10,800

× 60% contribution margin = \$6,480

(\$6,480 – \$3,000) ÷ \$3,000 = ROMI 116%

(year one only — CLV runs 3.5 years)

- **Owned / earned / paid** — owned (site, list) compounds; paid stops the day you stop paying.
- **Attribution** — which touch gets credit? Last-click is easy and wrong: it over-credits search, under-credits awareness.
- **Close-loop analysis** — evaluate → improve product/creative → run new campaign.

## Session 8 (Sep 22) — Product · Ch. 10

A product is three things at once:

- **Core benefit** — the need it solves
- **Actual product** — features, quality, design
- **Augmented product** — warranty, service, delivery, community

Competitors copy the actual product; they rarely copy the augmented one.

**Product life cycle — the stage dictates the tactic:**

| Stage        | Sales      | Priority                                    |
|--------------|------------|---------------------------------------------|
| Introduction | low, slow  | build awareness                             |
| Growth       | steep rise | build distribution, extend the line         |
| Maturity     | plateau    | defend share, cut cost, promotional defense |
| Decline      | falling    | harvest or kill                             |

Naming the wrong tactic for the stage is the classic wrong exam answer.

## Session 9 (Sep 24) — Branding · Ch. 11

**Brand equity** = the extra value a name adds beyond the physical product — why someone pays more, searches by name, or forgives a mistake. Course outcome: "execute marketing that enhances (and does not hurt) brand equity" — so it's graded two-sided.

**Keller's brand resonance pyramid (you can't skip a level):**

RESONANCE      loyalty, community, advocacy

JUDGMENTS & FEELINGS    what do I think and feel about you?

PERFORMANCE & IMAGERY    what are you? function and meaning

SALIENCE      who are you? do they know you exist?

| Builds equity                                                            | Destroys equity                                                                                                                  |
|--------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Consistent positioning, distinctive assets, quality matching the promise | Constant discounting (teaches people to wait), inconsistent messaging, blurring line extensions, service that contradicts the ad |

*From Lecture 2:* the deck files Blockbuster's late fees under **brand**, not incentives — and that's the point. A pricing decision became the single association customers held about the company. One badly-set tactic redefined the brand.

## Session 10 (Sep 29) — Promotion & advertising · Ch. 15

**IMC:** every channel says a version of the same thing. The message comes from the positioning statement, not the channel.

| Funnel stage  | Objective                     | Channels                                 | Metric                   |
|---------------|-------------------------------|------------------------------------------|--------------------------|
| Awareness     | They learn you exist          | TV, streaming video, OOH, influencer, PR | Reach, aided awareness   |
| Consideration | They see why you're different | Social, content, search, reviews         | Engagement, CTR          |
| Conversion    | They buy                      | Paid search, retargeting, email, POP     | CVR, CPA                 |
| Loyalty       | They return and refer         | Email/CRM, loyalty program, community    | Retention, CLV, referral |

*Group 4 preview:* the wine box case — Mekanism's "Franz for Life" campaign is exactly this: a low-status category repositioned through communication and an irreverent brand voice, not a better product.

## Session 11 (Oct 1) — Pricing beyond cost · Ch. 12

Cost sets the floor. Competitors set the ceiling. Only the customer tells you the *right* price.

| Approach                 | How                                                | What it ignores                                              |
|--------------------------|----------------------------------------------------|--------------------------------------------------------------|
| <b>Cost-plus</b>         | $\text{cost} \times (1 + \text{markup})$           | What customers would happily pay — leaves money on the table |
| <b>Competition-based</b> | match or undercut the leader                       | Your own differentiation; invites price war                  |
| <b>Value-based</b>       | price from perceived value, measured with conjoint | Hardest, highest margin — <b>this is the one he teaches</b>  |

Price elasticity =  $\% \Delta \text{ quantity} \div \% \Delta \text{ price}$

$|E| > 1$  elastic → a price CUT raises revenue (commodity, many substitutes)

$|E| < 1$  inelastic → a price RISE raises revenue (strong brand, few substitutes)

Example: raise price 10%, volume falls 4% →  $E = -0.4$  → inelastic → revenue rises.

The whole news-subscription conjoint exercise exists to answer a pricing question: "what monthly price maximizes revenue?" That's value-based pricing, measured. That connection is the spine of this course.

## Session 12 (Oct 6) — Distribution · Ch. 13

Distribution is **availability** — that's the "Accessibility" A. It's also what killed Blockbuster.

| Channel          | Path                                     | Trade-off                                          |
|------------------|------------------------------------------|----------------------------------------------------|
| 0-level (direct) | Maker → customer                         | Full margin, data, control — you fund it all       |
| 1-level          | Maker → retailer → customer              | More reach, shared margin                          |
| 2-level          | Maker → wholesaler → retailer → customer | Widest reach, thinnest margin, least shelf control |

- **Push** — market to the *channel* (trade deals, slotting fees, sales incentives) so retailers stock and push it
- **Pull** — market to the *customer* so they walk in asking for it

**Intensity:** intensive (Coke, everywhere) · selective (Levi's, chosen outlets) · exclusive (luxury cars, one per territory). Intensity must match positioning — luxury sold everywhere stops being luxury. That link between distribution and brand equity is a strong short-answer.

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## PART 4 — THE MIDTERM CASE PLAYBOOK

**30% of your grade. Due Sept 15, 11:59 PM. Opera Philadelphia. Max 3 pages of text + exhibits, min 10pt font.** The graded deliverable is the write-up, not the in-class presentation.



## The five required sections

1. **Executive summary** — *The Hook* (most pressing challenge/opportunity), *The Ask* (what decision is needed now), *The Bottom Line* (your recommendation + fact-based support). Write this last.
2. **Situational diagnosis — the "why"** — Do NOT summarize the case; the executives know their history. Critically analyze the market using the **5 C's** and **SWOT**.
3. **Strategic alternatives** — the case outlines three. Be clear which you recommend.
4. **Recommendation & implementation — the "how"** — 3–4 recommendations. Name the target segments (review the segmentation Excel workbook carefully). Apply the **7 tactics** where relevant; you needn't use all.
5. **Risk mitigation** — top two risks of *your* recommendation and how the company pivots if they occur.

## Rubric

| Criterion                      | Weight | Expectation                                                                                                          |
|--------------------------------|--------|----------------------------------------------------------------------------------------------------------------------|
| Analytical rigor               | 40%    | Deep use of 5Cs, marketing mix, segmentation, <b>targeting</b> , brand positioning, SWOT; insight beyond the obvious |
| Strategic alignment            | 30%    | Does the analysis support the recommendation? Can it be implemented?                                                 |
| Correct use of course concepts | 20%    | Are the frameworks used correctly?                                                                                   |
| Professionalism                | 10%    | Formatting, clarity, persuasive voice                                                                                |

## His three stated tips

- **Think like an owner.** What's your guidance to the Executive Director and his team?
- **The "so what?" test.** Every data point and exhibit must lead to a decision or insight. If not, cut it.
- **Persuasion, not description.** Not "the market is growing," but "we must capture the 15% growth in the millennial segment before Competitor X builds brand loyalty."

## Hard constraints

- Stay inside the case timeframe — no hindsight, no data the case doesn't contain

- No outside research, no consulting former students
- Do not upload the case to an LLM
- Max 3 pages of text; exhibits are supplemental

### A structure that scores well

Page 1: exec summary + diagnosis. Page 2: alternatives + 3–4 recommendations mapped to specific tactics. Page 3: implementation timing + risks. Exhibits: segment table from the Excel workbook, SWOT box, positioning map — each with a one-line caption stating the decision it supports.

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## PART 5 — FINAL EXAM CRAM SHEET

**Format: 40 multiple choice + 10 short answer, comprehensive.** MC rewards definitions; short answer rewards *distinguishing* two similar terms and giving an example.

### Every formula

CLV = (annual revenue × gross margin %) × years retained

CTR = clicks ÷ impressions

CVR = conversions ÷ clicks

CPA = spend ÷ conversions

ROMI = (incremental revenue × contribution margin – spend) ÷ spend

Price elasticity =  $\% \Delta$  quantity ÷  $\% \Delta$  price

Capture rate = store foot traffic ÷ total passers-by

Customer value = perceived benefit – price paid

Margin of error  $\approx 1 \div \sqrt{n}$  (n = 1,000 → roughly ±3%)

## Terms most likely to appear

| Term                             | One line                                                                |
|----------------------------------|-------------------------------------------------------------------------|
| 5 C's                            | Customers, Collaborators, Competitors, Company, Context                 |
| 3-V principle                    | Value must be positive for customer, collaborator and company at once   |
| 7 tactics                        | Product, Service, Brand, Price, Incentives, Communication, Distribution |
| Value chain vs. delivery network | Inside your firm vs. the whole partner ecosystem                        |
| Value migration                  | Value shifting from stale models to agile ones                          |
| Value proposition                | Total benefits promised in return for money and patronage               |
| Customer centricity              | Seeing the world and your services from the customer's point of view    |
| 4 A's                            | Acceptability, Affordability, Accessibility, Awareness                  |
| Primary vs. secondary data       | Freshly gathered for this project vs. collected for another purpose     |
| Qual / quant / observational     | Why / how many / what people actually did                               |
| Sampling plan                    | Sampling unit, sample size, sampling procedure                          |
| Conjoint (DCE)                   | Trade-off experiment → part-worth utilities → preference share          |
| Part-worth utility               | How much one attribute level contributes to preference                  |
| Fractional factorial             | A statistically valid subset of all combinations                        |
| A/B test                         | One variable, 50/50 split, metric defined in advance                    |

| Term                | One line                                                        |
|---------------------|-----------------------------------------------------------------|
| STP                 | Segment, target, position                                       |
| Perceptual map      | 2-axis picture of where brands sit in customers' minds          |
| Brand equity        | Value the name adds beyond the physical product                 |
| Product life cycle  | Introduction, growth, maturity, decline                         |
| Value-based pricing | Price from perceived value, not cost                            |
| Price elasticity    | How much quantity responds to a price change                    |
| Push vs. pull       | Market to the channel vs. to the end customer                   |
| Channel levels      | 0-level direct, 1-level retailer, 2-level wholesaler + retailer |
| ROMI                | Profit generated per dollar of marketing spend                  |

### Self-quiz (answer out loud first)

1. Name the 5 C's. Which do students define too narrowly? → *Competitors — same need, same customer, not just your industry.*
2. Customers delighted, partners paid, company losing money — verdict? → *Not viable; all three 3-V legs must be positive.*
3. The seven tactics in their three groups? → *Design: product, service, brand, price, incentives. Communicate: communication. Deliver: distribution.*
4. Which two tactics explain Blockbuster's failure? → *Distribution (slow to streaming, hard to collaborate with, new-release shortages) and brand (a B&M retailer, defined by late fees).*
5. "Consumers increasingly prefer sustainable fashion" on an ECOALF SWOT — where? → *Opportunity (external). Better: the derivative opportunity it creates.*
6. Value chain vs. value delivery network? → *Inside your firm vs. the broader ecosystem of partners.*
7. \$180 revenue/yr, 60% margin, 3.5 years → CLV? → *\$378 — the ceiling on acquisition spend.*
8. Name the 4 A's + a product that failed one. → *Google Glass failed acceptability.*
9. Five steps of an A/B test? → *Hypothesis → isolate one variable → define metrics → 50/50 launch → analyze and iterate.*

10. Why is conjoint better than "what would you pay?" → *Forces real trade-offs; predicts share for products that don't exist yet.*
11. You have  $n=500$  and want to halve your error — cost? →  $\sim n=2,000$ . *Error falls with  $\sqrt{n}$ .*
12. Nobody chose the \$125 print-only decoy — why keep it? → *It moved print+web from 32% to 84%.*

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*Built from the BUS 1600 syllabus (draft 8/26/26) and Lectures 1–3. Sessions 4–12 are drawn from the assigned chapters and the frameworks already established — confirm against slides as they post. Brightspace is always the current source.*